Brecksville - Broadview Heights City School District

# NOVEMBER 2024
# 5 YEAR FORECAST

FY 2025 THRU FY 2029

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EDUCATE. EMPOWER. ENGAGE.

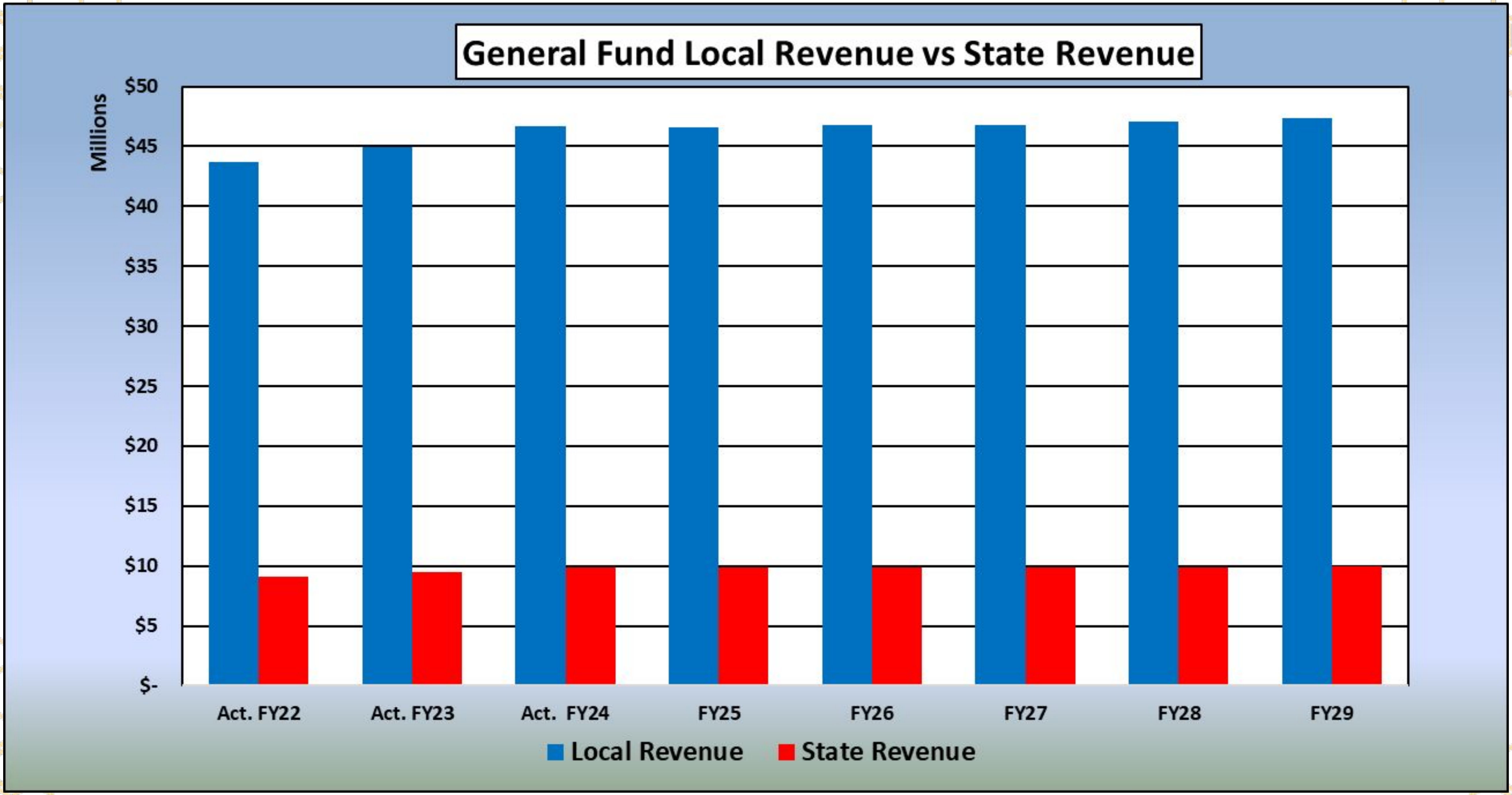
# WHAT IS A FORECAST?

*A forecast is a snapshot at a specific point in time and based off of the most current information available.*

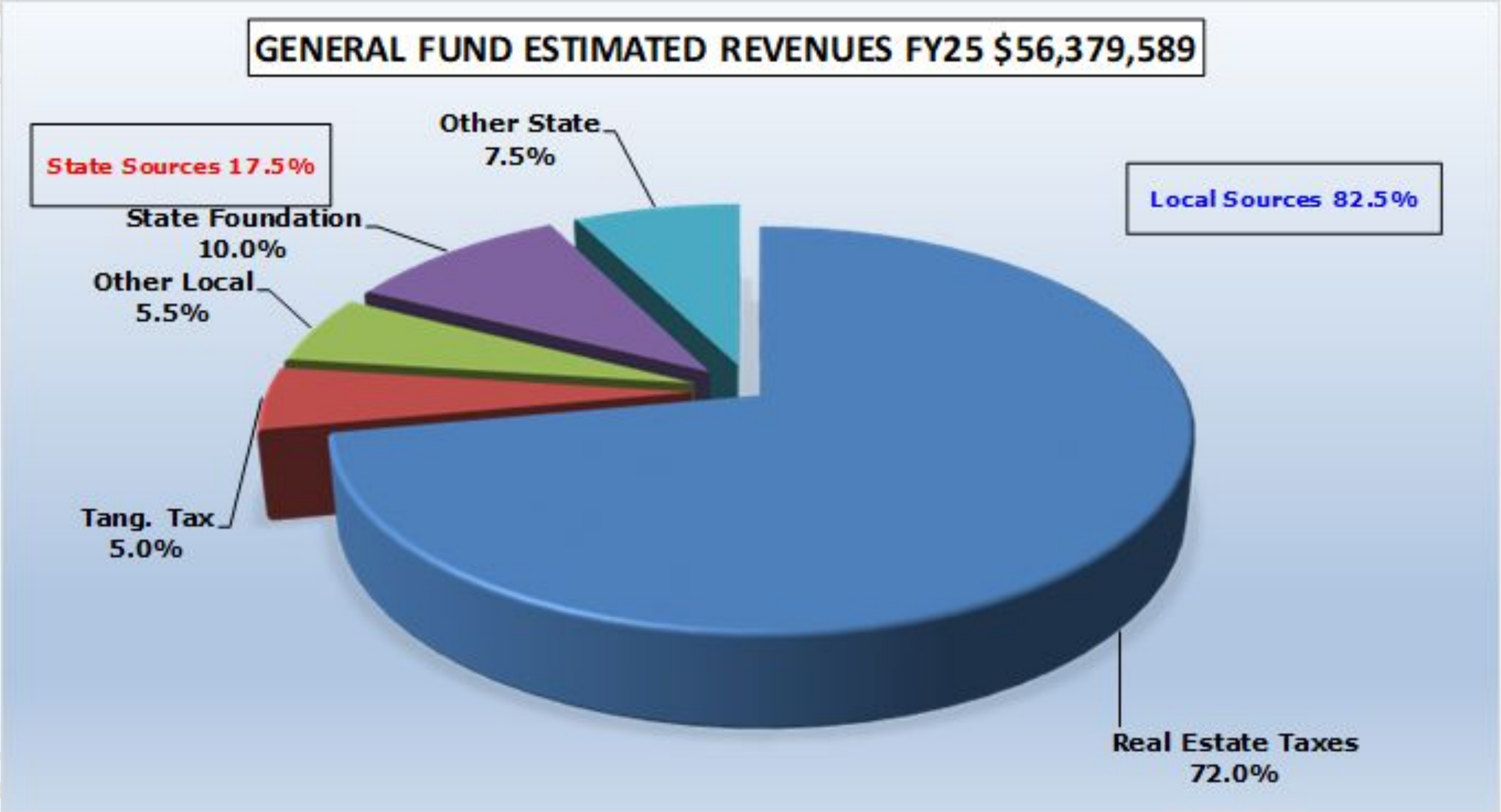
**DISCLAIMERS:**

- A forecast is a living document and can change within hours or days of publication.
- Assumptions laid out in this presentation in no way represent a baseline for any current or future negotiations with CBAs.
- BBHCSD continues to monitor its financial situation in a very unique economic environment.
- The forecast includes potential revenues regarding the Sherwin Williams/Valor Acres TIF – updated as of October 2024

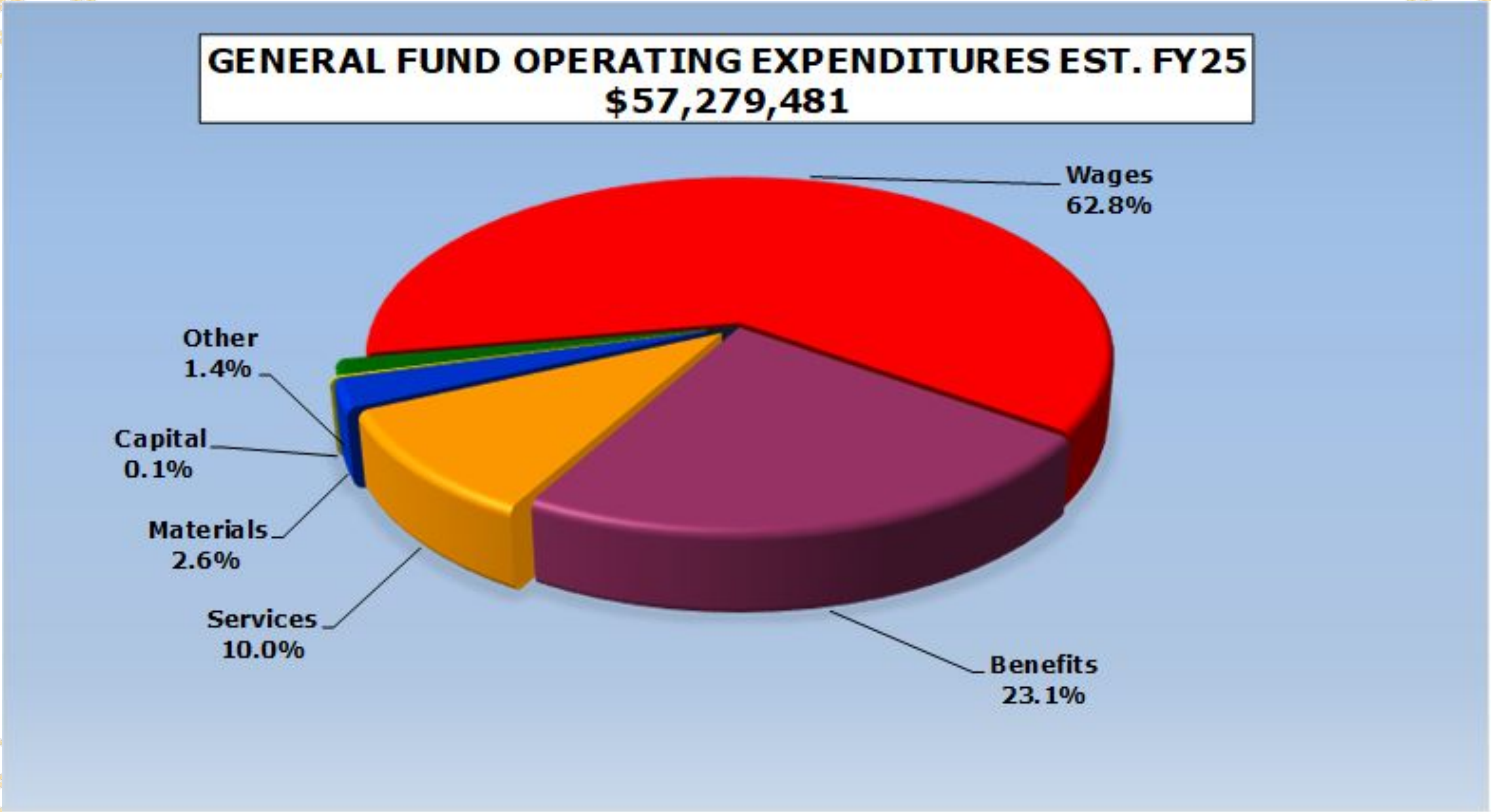
# BBHCSD IS HEAVILY FUNDED LOCALLY



# REVENUE PROJECTIONS FOR FISCAL 2025

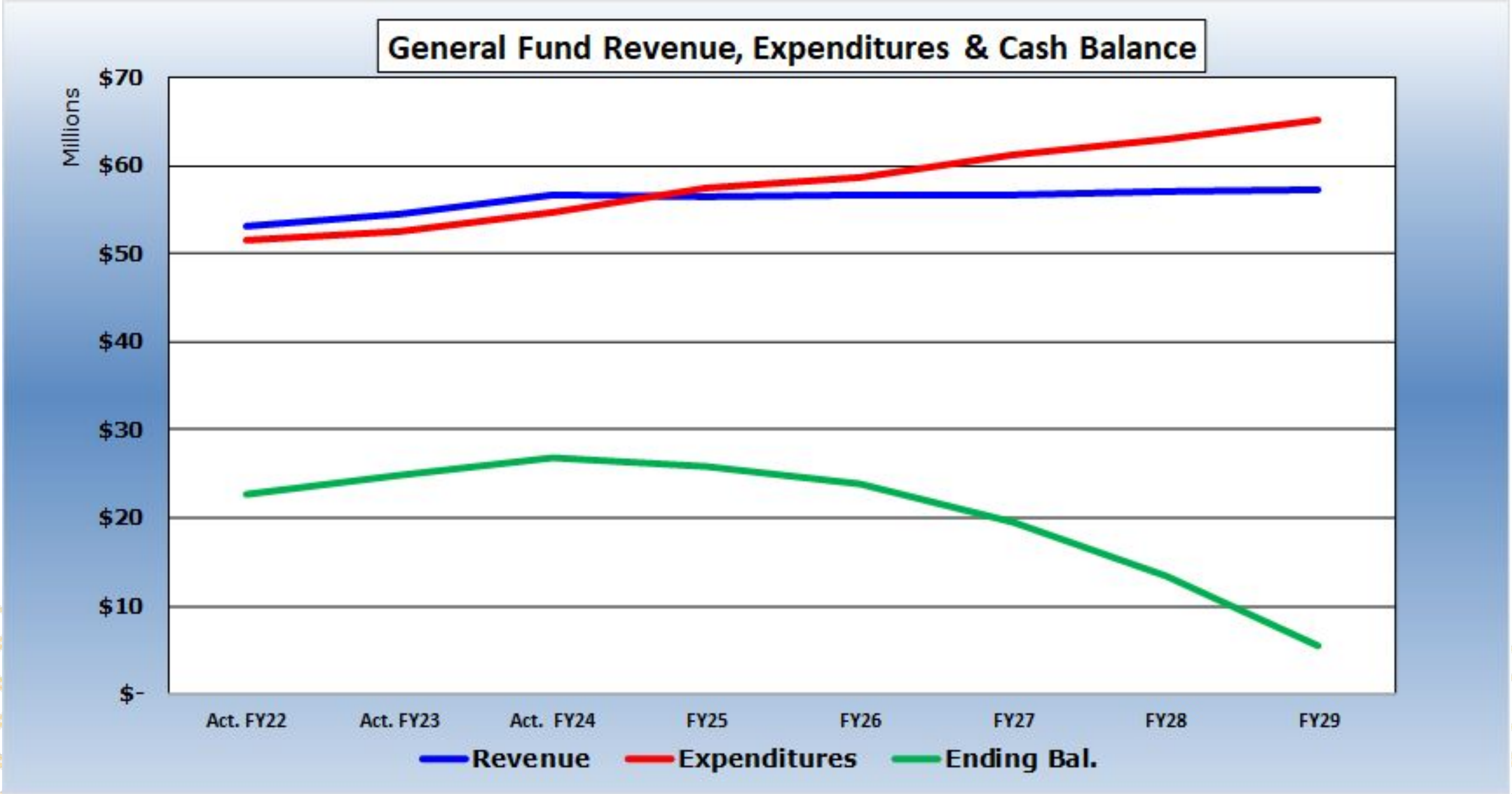


# EXPENDITURE PROJECTIONS FOR FISCAL 2025



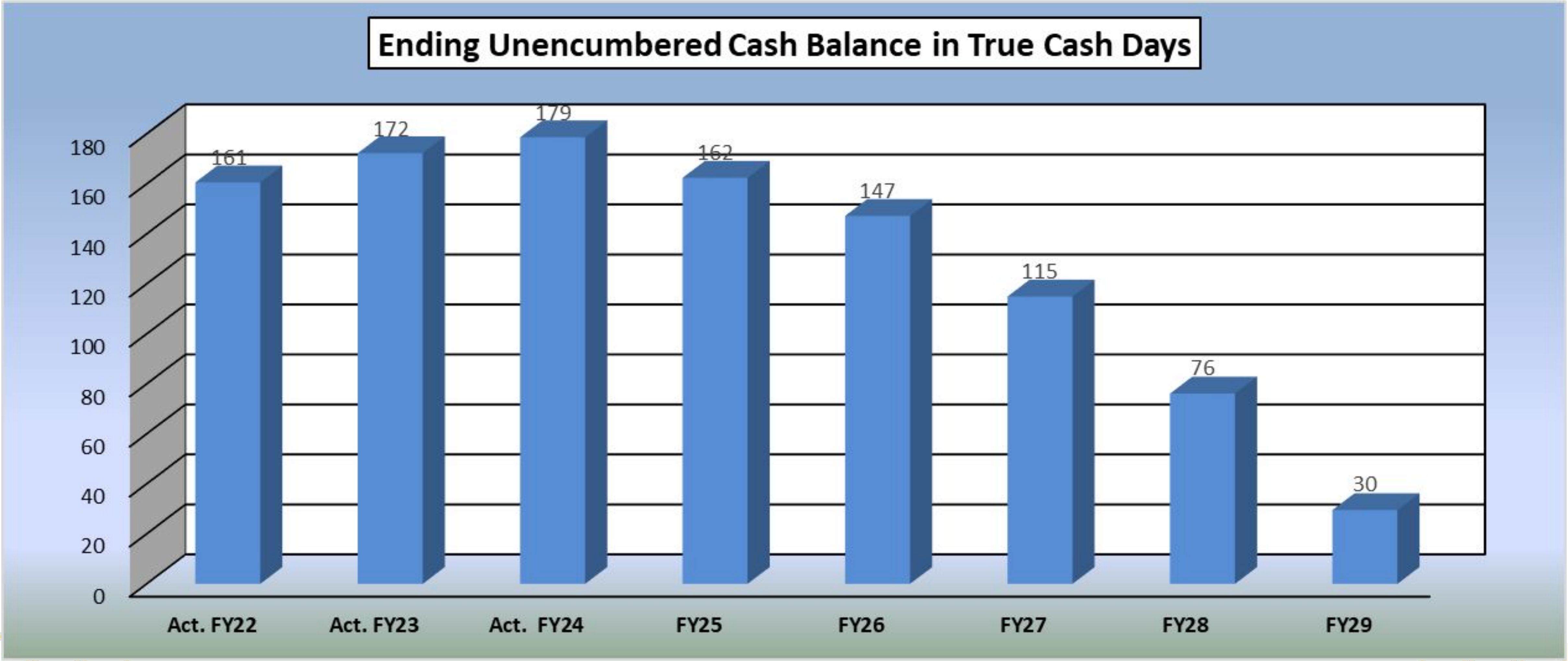
# DEFICIT SPENDING

- It is expected that we will deficit spend in fiscal year 2025 for the first time in 9 years.
- Without additional revenue or reduction in expenditures, the cash balance is projected to drop quickly over the next few years.



# MATCHING FINANCIAL HEALTH TO BOARD POLICY

- Board Policy 6215 governs our cash balance reserve.
  - In short, this policy states that the Board of Education prioritizes sound financial management and aims to maintain a 90-day operating expenditure reserve. The Board of Education will pursue tax levies or other financial strategies to ensure this reserve. The Superintendent and CFO will report any potential shortfalls and propose solutions. Excess funds above 150 days may be used for strategic plan initiatives, but the 90-day reserve must be maintained.



# KIS STATEMENT

May 2024

| | Actual | | | Forecasted | | | | |
|---|---|---|---|---|---|---|---|---|
| | Fiscal Year 2021 | Fiscal Year 2022 | Fiscal Year 2023 | Fiscal Year 2024 | Fiscal Year 2025 | Fiscal Year 2026 | Fiscal Year 2027 | Fiscal Year 2028 |
| Total Revenues | 52,262,181 | 53,012,606 | 54,444,397 | 56,134,187 | 55,704,918 | 55,935,809 | 55,917,788 | 56,209,842 |
| Total Expenditures | 50,837,045 | 51,599,271 | 52,407,277 | 54,936,142 | 57,027,085 | 58,485,257 | 61,121,585 | 63,304,209 |
| Excess of Revenues and Other Financing Sources over (under) Expenditures and Other Uses | 1,425,136 | 1,413,335 | 2,037,120 | 1,198,045 | (1,322,167) | (2,549,448) | (5,203,797) | (7,094,367) |
| Cash Balance July 1 - Excluding Proposed Renewal/Replacement and New Levies | 19,867,228 | 21,292,364 | 22,705,699 | 24,742,819 | 25,940,864 | 24,618,697 | 22,069,249 | 16,865,452 |
| Cash Balance June 30 | 21,292,364 | 22,705,699 | 24,742,819 | 25,940,864 | 24,618,697 | 22,069,249 | 16,865,452 | 9,771,085 |
| Reservations | 0 | 0 | 0 | 100,000 | 100,000 | 100,000 | 100,000 | 100,000 |
| Cumulative Balance of Renewal Levies | 0 | 0 | 0 | 0 | 0 | 0 | 4,573,502 | 13,419,735 |
| Unreserved Fund Balance June 30 | 21,292,364 | 22,705,699 | 24,742,819 | 25,840,864 | 24,518,697 | 21,969,249 | 21,338,954 | 23,090,820 |

November 2024

Millage to cover deficit

5.03 MILLS

| | Actual | | | Forecasted | | | | |
|---|---|---|---|---|---|---|---|---|
| | Fiscal Year 2022 | Fiscal Year 2023 | Fiscal Year 2024 | Fiscal Year 2025 | Fiscal Year 2026 | Fiscal Year 2027 | Fiscal Year 2028 | Fiscal Year 2029 |
| Total Revenues | 53,012,606 | 54,444,397 | 56,734,239 | 56,414,589 | 56,681,398 | 56,716,105 | 56,955,844 | 57,282,821 |
| Total Expenditures | 51,599,271 | 52,407,277 | 54,700,310 | 57,464,481 | 58,617,360 | 61,106,902 | 63,055,120 | 65,161,223 |
| Excess of Revenues and Other Financing Sources over (under) Expenditures and Other Uses | 1,413,335 | 2,037,120 | 2,033,929 | (1,049,892) | (1,935,962) | (4,390,797) | (6,099,276) | (7,878,402) |
| Cash Balance July 1 - Excluding Proposed Renewal/Replacement and New Levies | 21,292,364 | 22,705,699 | 24,742,819 | 26,776,748 | 25,726,856 | 23,790,894 | 19,400,097 | 13,300,821 |
| Cash Balance June 30 | 22,705,699 | 24,742,819 | 26,776,748 | 25,726,856 | 23,790,894 | 19,400,097 | 13,300,821 | 5,422,419 |
| Reservations | 0 | 0 | 0 | 150,000 | 150,000 | 150,000 | 150,000 | 150,000 |
| Cumulative Balance of Renewal Levies | 0 | 0 | 0 | 0 | 0 | 4,728,878 | 13,875,644 | 23,022,410 |
| Unreserved Fund Balance June 30 | 22,705,699 | 24,742,819 | 26,776,748 | 25,576,856 | 23,640,894 | 23,978,975 | 27,026,465 | 28,294,829 |

# ECONOMIC OUTLOOK

**The U.S. economy** is in a relatively strong position, with solid growth, low unemployment, and easing inflation. However, there are potential risks on the horizon that could impact future economic performance. The Federal Reserve's monetary policy and the government's fiscal policies will play a crucial role in navigating these challenges and supporting continued economic growth.

**High Levels of Debt Causes Concern:**

- **Total household debt** reached a record $17.06 trillion in Q3 2024, according to the Federal Reserve Bank of New York. This includes mortgage debt, student loan debt, auto loan debt, and credit card debt.
- **Credit card debt** alone surpassed $1 trillion in early 2024, indicating increased reliance on credit for everyday expenses.

**The Consumer Price Index (CPI)**, a key measure of inflation, rose by **0.2%** in October 2024, bringing the annual inflation rate to **2.6%**. This is up slightly from September 2024, when the annual inflation rate was 2.4%.

Here's what contributed to this increase:

- **Shelter costs:** While still lower than previous months, shelter costs continued to rise, contributing significantly to the overall increase.
- **Food prices:** Food prices also showed an uptick, adding to inflationary pressures.
- **Energy prices:** Although energy prices overall declined compared to last year, they showed a slight increase from the previous month.

# GENERAL COMMENTS

- HB33 increased funding for FY24 and FY25 and BBHCSD recently made it on the formula as of October 2024 for the first time in a long time.
- HB126 has taken real dollars from commercial tax collections which has slowed real estate revenue growth for BBHCSD. ***This has slowed our revenue growth.***
- New labor contracts have been factored into this presentation (BEA and BOSS)
- Healthcare projections continue at double digits and are a constant topic among Superintendents and Treasurers.
- This forecast indicates less than 90 days of cash in FY28. Therefore, per Board Policy 6215, notification is given to the Board of Education. The Superintendent and Treasurer will provide a recommendation (plan) to the Board by May of 2025 to address our upcoming deficits and decreasing cash balance.

# QUESTIONS?

- Contact Craig Yaniglos for any questions.
  - yaniglosc@bbhcsd.org
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- Presentation and notes are posted with Department of Education and Workforce, BoardDocs and our website.